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Total Life of Assets (Gross Block/Depreciation)

Here we try to understand the condition and age of assets by using accumulated depreciation as an indicator.

$$\text{Estimated Life of Assets} = \frac{\text{Gross Block}}{\text{Total Depreciation for the year}}$$



Depreciation

Depreciation can be straight-line depreciation or reducing depreciation depending upon the utilization of assets. We try to estimate total life of an asset by dividing the gross block by depreciation for the year. The assumption is that accounting life of an asset and real life are similar.



Rs. 1,00,000
@ 20% Depreciation

SLM

**Reducing
Depreciation**

I yr	20,000
II yr	20,000
III yr	20,000
IV yr	20,000
V yr	20,000

20,000
16,000
12,800
10,240
8,192

Total life (Gross Block/Depreciation)	14.97	14.03	14.29	14.27	13.15	12.35
Remaining Life (Net Block/ Depreciation)	7.56	6.86	6.68	6.87	6.72	6.39
Used Life	7.41	7.17	7.61	7.40	6.44	5.96

Looking at this, we can estimate the life of assets to be around 14 years. Again, we are not looking for exact life but an estimate.